July 21, 2026 12:42 AM GMT

Corning Inc | North America

Q2 Preview: Catching a Breath, but Still in the Lead

Expect modest Q2 upside as sold-out conditions cap Optical revenue, leaving margins and 3Q supply-driven acceleration as the key debates. GLW remains a long-term scale-up beneficiary, and pullback makes stock more attractive, but don't necessarily see Q2 earnings as a large catalyst for stock.

MORGAN STANLEY & CO. LLC

Meta A Marshall
Equity Analyst
Meta.Marshall@morganstanley.com +1 212 761-0430

Antonio Jaramillo
Research Associate
Antonio.Jaramillo@morganstanley.com +1 212 761-4438

Corning Inc (GLW.N, GLW UN)

Telecom & Networking Equipment | United States of America

Stock Rating	**Equal-weight**
Industry View	**In-Line**
Price target	**$180.00**
Shr price, close (Jul 20, 2026)	$153.10
Mkt cap, curr (mm)	$133,350
52-Week Range	$271.38-53.30

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
ModelWare EPS ($)	2.54	3.09	4.15	5.53
EPS ($)**	2.54	3.09	4.15	5.53
Prior EPS ($)**	-	-	-	-
P/E	34.5	49.6	36.9	27.7
EPS ($)§	2.52	3.20	4.26	5.76
Div yld (%)	1.3	0.8	0.8	0.8

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

QUARTERLY EPS ($)

Quarter	2025	2026e Prior	2026e Current	2027e Prior	2027e Current
Q1	0.54	-	0.70a	-	0.96
Q2	0.60	-	0.74	-	1.03
Q3	0.67	-	0.82	-	1.08
Q4	0.72	-	0.82	-	1.08

e = Morgan Stanley Research estimates, a = Actual Company reported data

Key Takeaways

- GLW remains a long-term beneficiary of scale-up optics, with architecture-agnostic exposure across CPO, NPO, LPO and other formats.
- Company focus on long-term agreements vs. near-term price hikes leaves us less concerned about LT margins.
- However, against that backdrop, Q2 revenue upside opportunity modest, shifting focus to margins and the pace of Optical acceleration as supply comes online.
- Solar remains the key NT unknown to surpassing 20% operating margins, with shutdown costs recovering first and wafer-ramp inefficiencies easing through 2H26.
- Display should benefit from strong near-term utilization, though earlier restocking and panel demand may moderate into 2H26.

GLW will report 2Q26 earnings before-market open on Tuesday, July 28.

Revenue upside likely modest, with margins and 3Q Optical acceleration the bigger debates. Similar to rest of AI supply chain names, GLW declined roughly 40% from the local peak reached in late June following the GlassBridge announcement and now trades below levels seen around the Springboard update in early May when NVDA investment was announced. Despite the pullback, meaningful upside likely still requires either evidence of additional pricing or a faster supply ramp, particularly with GlassBridge already reflected in the company's $10 billion Photonics framework. Largely sold-out conditions should limit the magnitude of any second-quarter revenue beat, with upside likely closer to $50 million and unlikely to exceed $100 million. Results materially above that level would probably need to come from pricing. EPS upside also appears contained at roughly $0.01 to $0.02, placing greater emphasis on margin delivery and the pace of Optical acceleration into Q3. Street estimates already embed approximately $200 million of sequential growth, implying Optical may need to contribute at least $50 million of upside as incremental capacity comes online. Glass Innovations, which represented ~33% of Core sales, could be guided modestly higher on foldable-device sales, although weaker consumer electronics demand tied to memory inflation may offset part of the benefit. Solar remains the largest uncertainty given questions around both the pace of the revenue ramp and the near-term margin overhang. ***Overall, while Q2***

beat should not be meaningful enough to cause large positive reaction, in light of pullback, we do think the combination of supply coming online and potential for Solar overhang to lift could create a more positive setup in the print.

Exhibit 1: GLW - Earnings Beat / (Miss) History

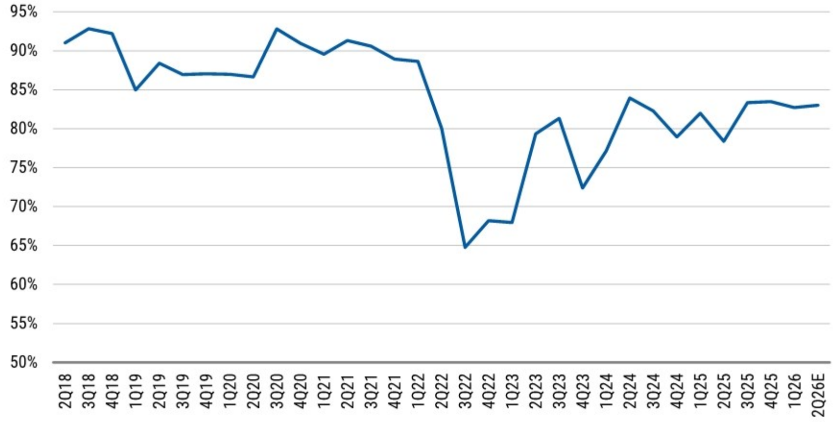
GLW - Earnings Beat / (Miss)					
Core Revenue Growth (%)	**1Q25**	**2Q25**	**3Q25**	**4Q25**	**1Q26**
Pre-Print Consensus	12.7%	7.3%	13.9%	12.8%	17.4%
Actual	12.9%	12.2%	14.4%	13.9%	18.1%
Variance (%)	***23bp***	***490bp***	***49bp***	***110bp***	***68bp***
Non-GAAP Gross Margin (%)	**1Q25**	**2Q25**	**3Q25**	**4Q25**	**1Q26**
Pre-Print Consensus	18.0%	18.7%	19.9%	20.3%	20.7%
Actual	18.0%	19.0%	19.6%	20.2%	20.2%
Variance (%)	***0bp***	***29bp***	***-33bp***	***-6bp***	***-51bp***
Non-GAAP EPS ($)	**1Q25**	**2Q25**	**3Q25**	**4Q25**	**1Q26**
Pre-Print Consensus	$0.51	$0.57	$0.67	$0.71	$0.70
Actual	$0.54	$0.60	$0.67	$0.72	$0.70
Variance (%)	***5.9%***	***5.3%***	***0.0%***	***1.4%***	***0.0%***

Source: Company data, Morgan Stanley Research

Solar remains the key wildcard to the Q3 guide. Management's ~$0.07 headwind in Q2 estimate implies Solar is reducing Q2 core EPS by ~9% versus the $0.75 guidance midpoint, or ~$61mm after tax and ~$75mm pre-tax. ~$0.03 per share reflects the temporary $30mm shutdown expense, while the remaining ~$0.04 points to ongoing wafer-ramp inefficiencies. Shutdown-related costs should recover first, while continued progress in the wafer ramp drives a gradual decline in incremental cost in the back-half of CY26. If this business were to recover sooner than expected, we could see upside to Q3 EPS guide.

Stronger 1H TV panel shipments support GLW, though momentum should moderate into 2H. TV panel shipments have historically split roughly evenly between 1H and 2H, but 2026 appears more front-end loaded as brands restocked ahead of the Winter Olympics, FIFA World Cup, and China's 618 promotion. While these events may not materially lift full-year TV demand, they have shifted shipment timing and helped sustain display fab utilization at 80%–85% through 2Q26, broadly in line with 1Q26 and above the 78% trough in 2Q25. Output discipline remains intact, which should support near-term pricing and utilization for GLW, although earlier restocking likely fades as panel orders slow into 2H26. *For more details, refer to our Asia team's note on June '26 Panel Price trends.*

Exhibit 2: Industry Average Utilization at Display Fabs



Source: WitsView, Morgan Stanley Research (E) estimates

Long-Term Beneficiary of Architecture-Agnostic Scale-Up Adoption. As discussed in our refreshed Scale-Up Network primer, recent volatility across the optical ecosystem has reflected renewed debate around the timing and architecture of scale-up adoption. Rising bandwidth requirements remain the more important driver for GLW, as greater optical content should be needed regardless of whether the market ultimately favors CPO, NPO, LPO or another format. Passive photonics exposure across FAUs, PMF, external laser source fiber and GlassBridge positions GLW to participate across multiple architectures, making it one of the cleanest architecture-agnostic ways to gain exposure to optical scale-up. Management continues to view 2028 as the likely starting point, with early adoption expected to develop through a hybrid mix of copper and optics rather than an immediate transition.

Remain EW GLW, $180 PT. Our unchanged base case PT of $180 applies ~35x multiple to our revised FY28e Base Case EPS of $5.1. This multiple is well above GLW's traditional trading range of 16x over the last 10-years, but further acceleration potential of the Optical business as optical density outgrows GPU spend. Our Bear Case valuation of $72 reflects ~16x FY28e Bear Case EPS of $4.50. Our multiple of ~16x is closer to GLW's average trading range since 2010. Our Bull Case valuation of $230 reflects ~35x FY28e Bull Case Core MSe EPS $6.5. Our ~35x multiple is on the high end of GLW's historical ranges and reflects much higher CPO adoption.

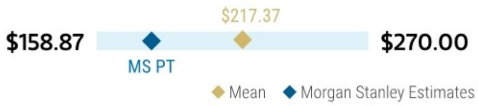
Risk Reward – Corning Inc (GLW.N)

Exp'd Margin Leverage and Scale-Up Opportunity Driving Stock Towards Bull Case

PRICE TARGET $180.00

Our base case valuation reflects ~35x on FY28 Base Case earnings power of ~$5.1. Our multiple represents a premium to GLW's traditional trading range over the last 10 years given AI megatrend.

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)

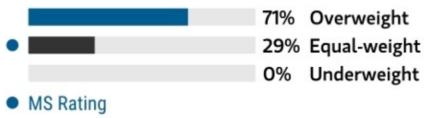
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 20 Jul 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology here

EQUAL-WEIGHT THESIS

- Display business, which generates majority of earnings, operates efficiently. Additional currency related price increases support margins.
- Optical business sees resumption in growth as carrier fiber deployments pick up, and also benefits from AI datacenter demand for fiber.
- Consumer businesses see slow recovery, particularly given weaker macro

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Pricing Power: *Positive*
Secular Growth: *Positive*

View descriptions of Risk Rewards Themes here

BULL CASE $230.00

~35x 28e MSe Bull Case Core EPS ($6.5)

Upside to estimates driven higher margins / CPO adoption than expected; solar margins improve meaningfully. Our Bull Case reflects meaningful upside to Springboard and greater recognition of Solar / CPO/photonics opportunity, with a greater pass through of margins as Solar overhang quickly dissipates, CPO adoption greater than expected. Also gives credit for upside from unknown US manufacturing project. Premium to historical trading range given AI opportunity.

BASE CASE $180.00

~35x 28e Base Case Earning Power

Continues to see upside to optical demand; CPO material by 2028. GLW remains well exposed to various LT secular trends, with fiber pass through to margins being slightly better than expected. In this scenario, FY28e core EPS seen at $5.1. Our multiple represents a premium to GLW's traditional trading range over the last 10 years given accelerated growth and AI opportunity.

BEAR CASE $72.00

~16x Bear Case 28e EPS ($4.5)

Slowdown in AI spending. Broadly speaking, growth challenged given macro headwinds, particularly in consumer exposed businesses; AI spend curtailed as bottlenecks or spending caution emerges. In this scenario, FY28e core EPS seen at $4.5. Multiple of 16x is closer to GLW's average trading range since 2010.

Risk Reward – Corning Inc (GLW.N)

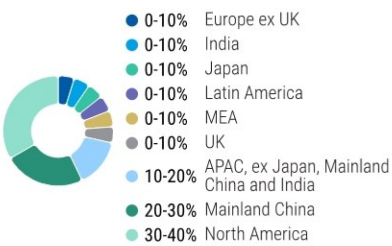
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Total Revenue ($, mm)	15,629	17,646	21,523	26,610
Gross Margin (%)	36.0	37.3	38.3	38.9
Free Cash Flow ($, mm)	1,413	1,379	1,870	2,265
EPS Growth Y/Y (Non-GAAP) (%)	29.0	21.7	34.4	33.3

INVESTMENT DRIVERS

- Optical fiber deployments from service providers
- Consumer spending (mobile devices, TVs)
- Incremental adoption of core technologies (glass, ceramics, optical physics) across more end markets / verticals (i.e. auto glass)

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

5/5 **BEST**	24 Month Horizon	5/5 **MOST**	3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Acceleration in AI capex data points continue
- Margins improve on fiber business as enter more into data center opportunity
- CPO adoption greater than expected
- Solar overhang on wafers quickly dissipates

RISKS TO DOWNSIDE

- Delay in fiber deployment / AI plans
- Alternatives to CPO found in scale-up
- Macro disruption challenges pricing / margins, cash flow generation
- Pricing discipline dissipates in display

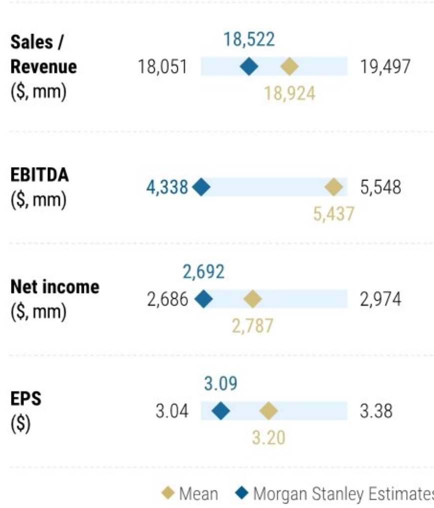
OWNERSHIP POSITIONING

Inst. Owners, % Active	51.2%
HF Sector Long/Short Ratio	2.1x
HF Sector Net Exposure	29.5%

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure – Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

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(as of June 30, 2026)

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Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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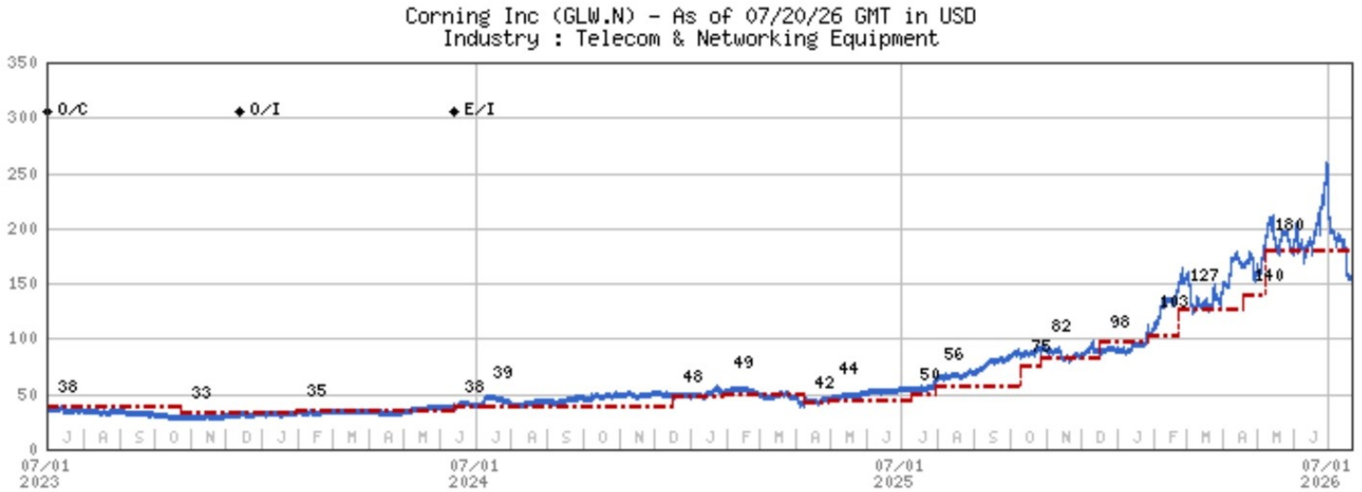
Stock Price, Price Target and Rating History (See Rating Definitions)



Stock Rating History: 7/1/21 : E/I; 4/12/22 : E/C; 6/9/23 : O/C; 12/13/23 : O/I; 6/13/24 : E/I

Price Target History: 4/27/21 : 40; 7/27/21 : 42; 10/26/21 : 40; 10/11/22 : 36; 12/13/22 : 35; 6/9/23 : 38; 10/24/23 : 33; 1/30/24 : 35; 6/13/24 : 38; 7/8/24 : 39; 12/17/24 : 48; 1/29/25 : 49; 4/8/25 : 42; 4/29/25 : 44; 7/8/25 : 50; 7/29/25 : 56; 10/10/25 : 75; 10/28/25 : 82; 12/17/25 : 98; 1/28/26 : 103; 2/23/26 : 127; 4/19/26 : 140; 5/7/26 : 180

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: Telecom & Networking Equipment

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/20/2026)
Meta A Marshall		
Arista Networks (ANET.N)	O (10/31/2023)	$169.35
Axon Enterprise Inc (AXON.O)	O (12/03/2024)	$527.48
Ciena Corporation (CIEN.N)	E (10/10/2025)	$378.77
Cisco Systems Inc (CSCO.O)	O (04/08/2024)	$110.70
Coherent Corp (COHR.N)	E (12/13/2023)	$285.40
Corning Inc (GLW.N)	E (06/13/2024)	$153.10
F5 Inc (FFIV.O)	E (04/12/2022)	$411.92
Keysight Technologies Inc (KEYS.N)	O (07/13/2026)	$314.13
Lumentum Holdings Inc (LITE.O)	E (05/12/2021)	$765.55
Motorola Solutions Inc (MSI.N)	O (12/17/2025)	$410.43
Zebra Technologies Corporation (ZBRA.O)	E (12/02/2024)	$264.69

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* Historical prices are not split adjusted.